COURSE

## WJEC GCE A Level in Business (1510QS)

# Stakeholders and ethics

**Unit 1: Business Opportunities · Enterprise: stakeholders; Unit 4: Ethical, legal and environmental factors**

Revision for Unit 1: Business Opportunities: each firm works it out on its own deals.

Class **A Level or IB Business** Topic **Stakeholders and ethics**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

The board cuts staff training to pay a higher dividend this year.

**Which view of the firm does this follow?**

PICK ONE

- ○ Corporate social responsibility
- ○ Paternalistic management
- ✔ **The shareholder view**
- ○ The stakeholder view

**Why:** Putting the owners' return above other groups is the shareholder view.

## Task 2

ROUND 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

**Which two benefits are most likely?**

PICK TWO

- ✔ **A better local reputation**
- ✔ **Easier to recruit staff**
- ○ Fewer laws to follow
- ○ Higher profit this year
- ○ Lower costs this year

**Why:** CSR costs money now, but wins goodwill with buyers and job seekers.

## Task 3

ROUND 2

Three firms: profit for the year, and the dividends paid.

**Order by share of profit paid out, lowest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

**Why:** 10%, 25%, 50%: the rest is kept to invest in the firm.

## Task 4

ROUND 2

Road-safety lessons in local schools.

**Effect on profit? Minus allowed.**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Cost of the lessons, a year | **£9,000** |
| Extra sales from goodwill | **6 cars** |
| Contribution per car | **£1,900** |

METHOD

**Effect = extra cars × contribution – cost of the lessons**

6 × £1,900 – £9,000 = £2,400

**Why:** CSR costs money now; goodwill must bring sales to pay for it.

## Task 5

ROUND 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

**Which choice raises profit on these figures, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Keep the current firm**
- ○ Switch to the green firm

**Why:** 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

## Task 6

ROUND 3

Residents who care about traffic from your new showroom win the council's support.

**How should you now treat the residents?**

PICK ONE

- ✔ **Consult them closely**
- ○ Ignore them: they have no say
- ○ Send them a newsletter
- ○ Wait for the council to decide

**Why:** Their interest was high; with the council behind them their power is too.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**4**
of them on stakeholders and ethics

**The game draws 6 of the 109 Level 3 questions; these 4 are about stakeholders and ethics.**

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
**Test understanding, show total cost and risks, fix bad incentives.**

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
**Stop affected sales and investigate independently.**

3 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
**Workshop staff: weeks of unplanned recall work displacing jobs.**

4 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
**Stakeholder: weigh every affected group; shareholder: owners' return first.**